



ConocoPhillips

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An aerial photograph of a large offshore oil and gas platform in the middle of a dark, choppy sea. The platform is a complex of yellow and grey metal structures, including a central processing unit and several smaller modules connected by walkways. In the background, another smaller platform is visible on the horizon. The sky is overcast and grey. Overlaid on the center of the image is the text "Business Overview & Core Operations" in a white, sans-serif font.

Business Overview & Core Operations

Company Overview

- **Introduction:**

- upstream energy company that specializes in the exploration, production, transportation, and marketing of crude oil, natural gas, and natural gas liquids (NGLs).

- **Foundation:**

- Founded in 2002 through the merger of Conoco Inc. and Phillips Petroleum Company, ConocoPhillips is headquartered in Houston, Texas and operates as a leading upstream energy company

- **Presence:**

- Operates in 13 countries with a focus on low-cost, high-margin resource basins, including the U.S. Lower 48, Alaska, Canada, and the Asia Pacific region.

- **Values:**

- ConocoPhillips emphasizes safety, sustainability, innovation, and accountability, with a commitment to responsibly delivering energy to meet global demand.

Financial Overview

52 Week Range: 79.88 -
130.44

P/E Ratio: 11.74

Market Cap: \$116.1B

4/26/25 Price: \$91.72

Geographical Scope

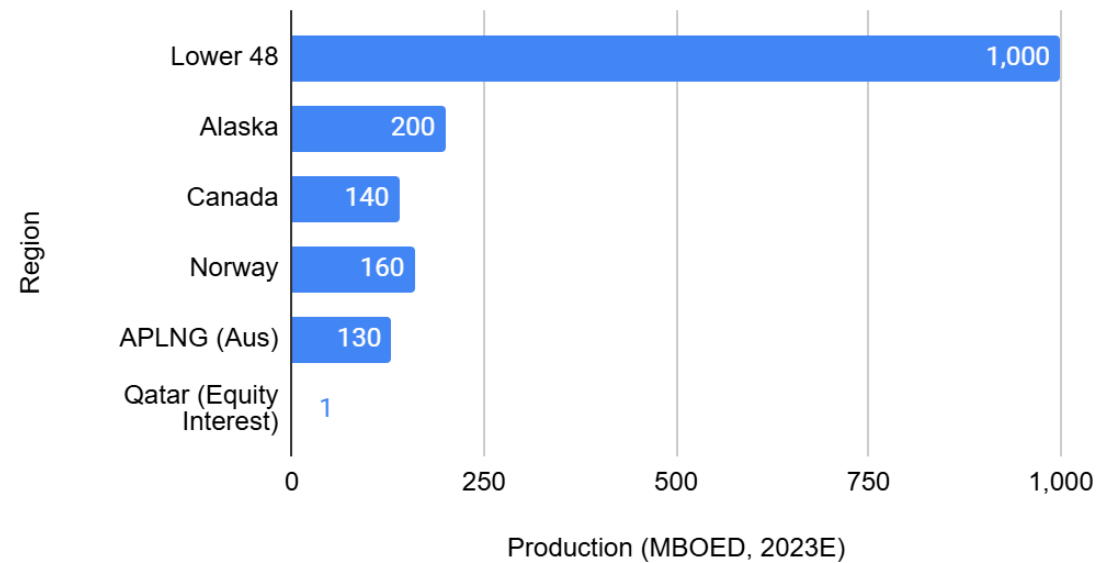
- ConocoPhillips is an upstream oil and gas company with a global presence across:
 - North America (U.S. Lower 48, Alaska, Canada)
 - Europe (Norway, UK)
 - Asia-Pacific (Australia, Malaysia, Indonesia, China)
 - Middle East (Qatar)

Production & Reserves Trends

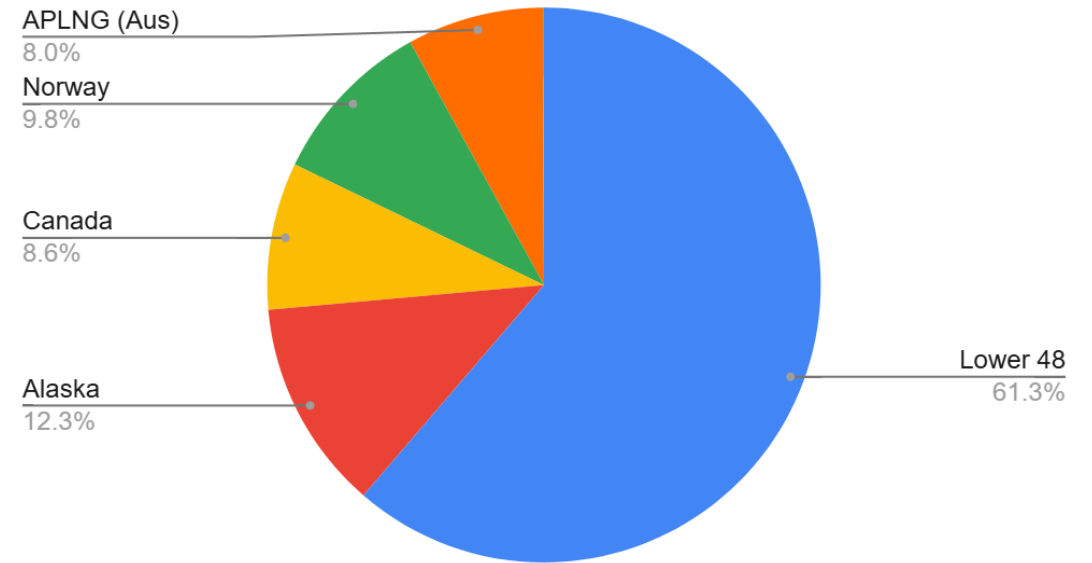
Region	Production (MBOED, 2023E)	Reserve Type	Notes
Lower 48	~1,000+	Unconventional liquids/gas	Growth via shale; strong drilling returns
Alaska	~200	Conventional oil	Willow project expected by 2029
Canada	~140	Bitumen	SAGD recovery; high SOR but stable output
Norway	~160	Conventional offshore	Aging assets but efficient operatorship
APLNG (Aus)	~130	Gas (LNG)	Strong demand, long-term contracts
Qatar	Equity interest	LNG	Access to growing Asian gas demand

Production & Reserves Trends

Production (MBOED, 2023E) vs. Region



Production (MBOED, 2023E)



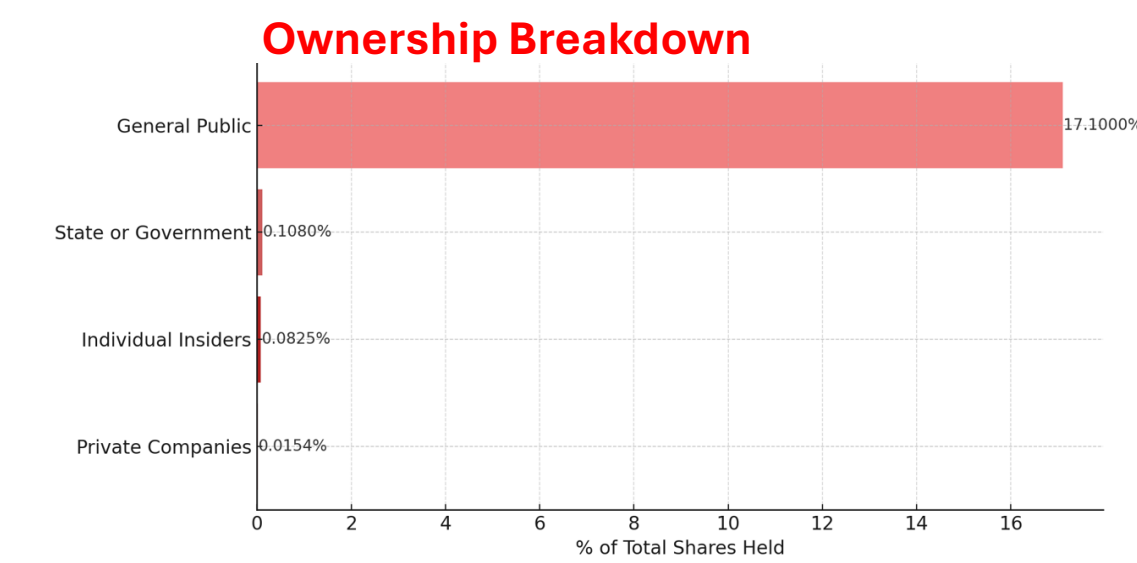
Technologies & Enhanced Recovery

- Machine learning for drilling optimization:
 - Especially in U.S. shale (drill-to-fill strategy)
- Steam-Assisted Gravity Drainage (SAGD) in Surmont
- Pad drilling and zipper fracs to boost lateral productivity in Lower 48
- Carbon Capture and Storage (CCS) in development stages, notably for Surmont and LNG assets



Ownership & Capital Structure

Shareholder Breakdown



Institutional Influence:
ConocoPhillips is mostly owned by big investment firms like Vanguard, BlackRock, and State Street. These firms own more than 75% of the company’s shares meaning the company is very sensitive to trading actions by such large firms.

Top 10 Holders:
The top 10 shareholders alone hold over 40% of total shares, highlighting a concentrated ownership structure among major institutional investors.

Top 10 Shareholders

Holder Name	% Total Shares Held	Value
Vanguard Group Inc	9.57	\$12.08B
BlackRock Inc	8.1	\$10.22B
State Street Corp	5.79	\$7.31B
JPMorgan Chase & Co	4	\$5.04B
T. Rowe Price Associates, Inc.	3.6	\$4.55B
Capital Research & Mgmt Co	2.46	\$3.10B
Wellington Management Company LLP	2.45	\$3.09B
Geode Capital Management, LLC	2.21	\$2.79B
Massachusetts Financial Services Co	1.99	\$2.51B
Timothy Leach	0.04	\$48.60M
Total	40.20%	\$50.74 B

Insider Influence:
The low insider ownership of 0.32% suggests that company executives and directors hold only a small stake. This may indicate leadership may be less personally invested in the company's stock performance.

Geographical Concentration:
Majority of shareholders are based in the US (64.76%), followed by the UK (8.16%), Canada (2.8%), and Germany (1.75%), this shows they have a strong support from U.S.-based investors.

Financial Stability & Liquidity Position

- ConocoPhillips' Free Cash Flow to Debt Ratio of 0.34x shows it generates enough cash to comfortably handle its debt, which strengthens long-term financial stability.
- The quick ratio of 1.14x and current ratio of 1.29x suggest the company can meet its short-term obligations, though it's slightly less liquid than in past years.
- With \$5.6 billion in cash and \$24.4 billion in operating cash flow, the company is in a strong position to fund operations and invest without relying heavily on borrowing.
- A cash conversion cycle of 0.89x reflects efficient operations, also higher than the industry average of 61 – 62 days, meaning the company quickly turns its resources into cash.

Liquidity Overview

- **Cash & Equivalents:** \$5,607B
- **Cash Conversion Cycle:** 0.89x
- **Operating Cash Flow:** \$24.379B
- **Current Ratio:** 1.29x (< than historical 10 yr ratio of 1.59x)

Debt Covenants & Ratios

- **Free Cash flow to Debt Ratio:** .34x
- **Quick Ratio:** 1.14x (average of 1.33x)
- **Debt-to-EBITDAX Ratio:** .99x (historically < 1.5x)
- **Interest Coverage Ratio:** 38.6x

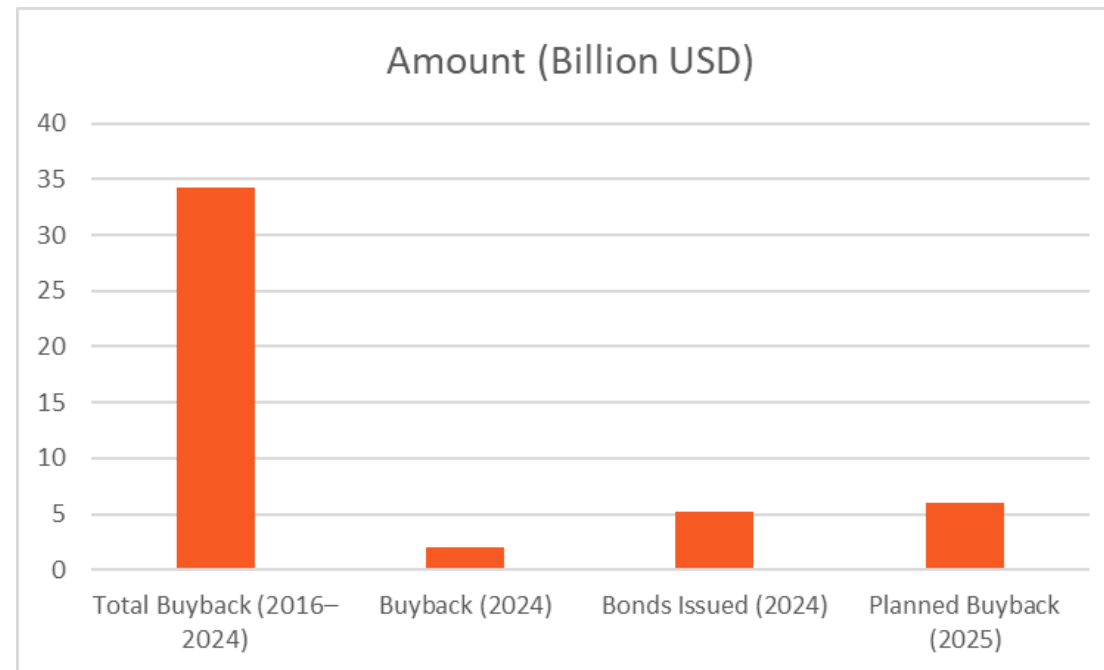
Capital Structure Changes

Share Repurchase Program

- In November 2024, ConocoPhillips increased its share buyback plan to \$20 billion.
- From October 1 to December 31, 2024, the company repurchased 18.7 million shares (1.63% of shares), worth \$1.99 billion. As of December 31, 2024, ConocoPhillips had repurchased 432.6 million shares (35.92% of total) for \$34.27 billion since initiating the program in 2016.
- In 2025, the company announced \$10 billion in planned capital returns, with \$6 billion in buybacks. This signals strong cash flow and financial health. Reducing shares increases EPS and may support long-term stock price appreciation.

Issuance:

- The company has not issued new stock recently, maintaining ownership stability.
- In May 2024, ConocoPhillips acquired Marathon Oil in a \$22.5 billion all-stock deal, exchanging 0.2550 shares per Marathon share (deal closed in November 2024).
- To refinance acquisition debt, it issued \$5.2 billion in bonds across five tranches in November 2024. Issuing bonds avoids ownership dilution and shows confidence in future stock value. Leadership likely believes the stock is undervalued and will go up in value.



ConocoPhillips announced its 2024 planned return of capital to shareholders of \$9 billion. The company declared an ordinary dividend of \$0.58 per share and a VROC of \$0.20 per share, both payable March 1, 2024, to stockholders of record at the close of business on Feb. 19, 2024. This shows that ConocoPhillips is making strong profits and wants to share that success with its investors, which is a good sign of the company's financial strength and stability.

Sector & Macro Overview



ESG & Regulatory Factors

- **Accelerated Emissions Reductions:** ConocoPhillips has raised its Scope 1 and 2 GHG emissions intensity reduction target to 50-60% by 2030 (vs. 2016 baseline), exceeding earlier goals. The company is on track to achieve near-zero methane emissions by 2030 and eliminate routine flaring by 2025—five years ahead of industry targets.
- **Industry-Leading Governance & Social Performance:** Recognized in the Dow Jones Sustainability Index for 15 consecutive years, ConocoPhillips scored in the 85th percentile for governance, risk management, and social metrics. It also earned a 100% Corporate Equality Index score for four straight years, reflecting best-in-class LGBTQ+ workplace inclusivity.
- **Innovative Water & Biodiversity Stewardship:** 93% of water used in operations is non-fresh or recycled, supported by advanced treatment technologies. The company has contributed to conserving 20+ million acres of land through partnerships over two decades, aligning with nature-positive goals.
- **Regulatory Risk:** ConocoPhillips' \$22.5 billion acquisition of Marathon Oil triggered an FTC "second request" for antitrust review, delaying the deal's closure to at least 30 days after compliance (originally slated for Q4 2024). The FTC's scrutiny focuses on potential market consolidation in U.S. shale regions like the Permian Basin, raising risks of divestment mandates or operational restrictions to preserve competition.
- **Lawsuit Risk:** A Louisiana transfer pricing lawsuit alleges ConocoPhillips underpaid \$500 million in taxes (2008–2011) by misreporting intercompany service charges (sales, IT, engineering). The state claims noncompliance with IRS Section 482's "best method" rule, while ConocoPhillips disputes the calculations and methodology, creating financial liability risks if the court sides with regulators.

Macro & Geopolitical Context

Cause

60% US Tariffs on China will raise costs for equipment/materials



Effect

global oil demand could drop by 0.5 million b/d in 2025 if tariffs are implemented

Potential 10-20% tariffs on EU imports



strain LNG trade, forcing ConocoPhillips to redirect exports to Asia

Ukraine/Middle East Wars will Risk Oil Price Volatility

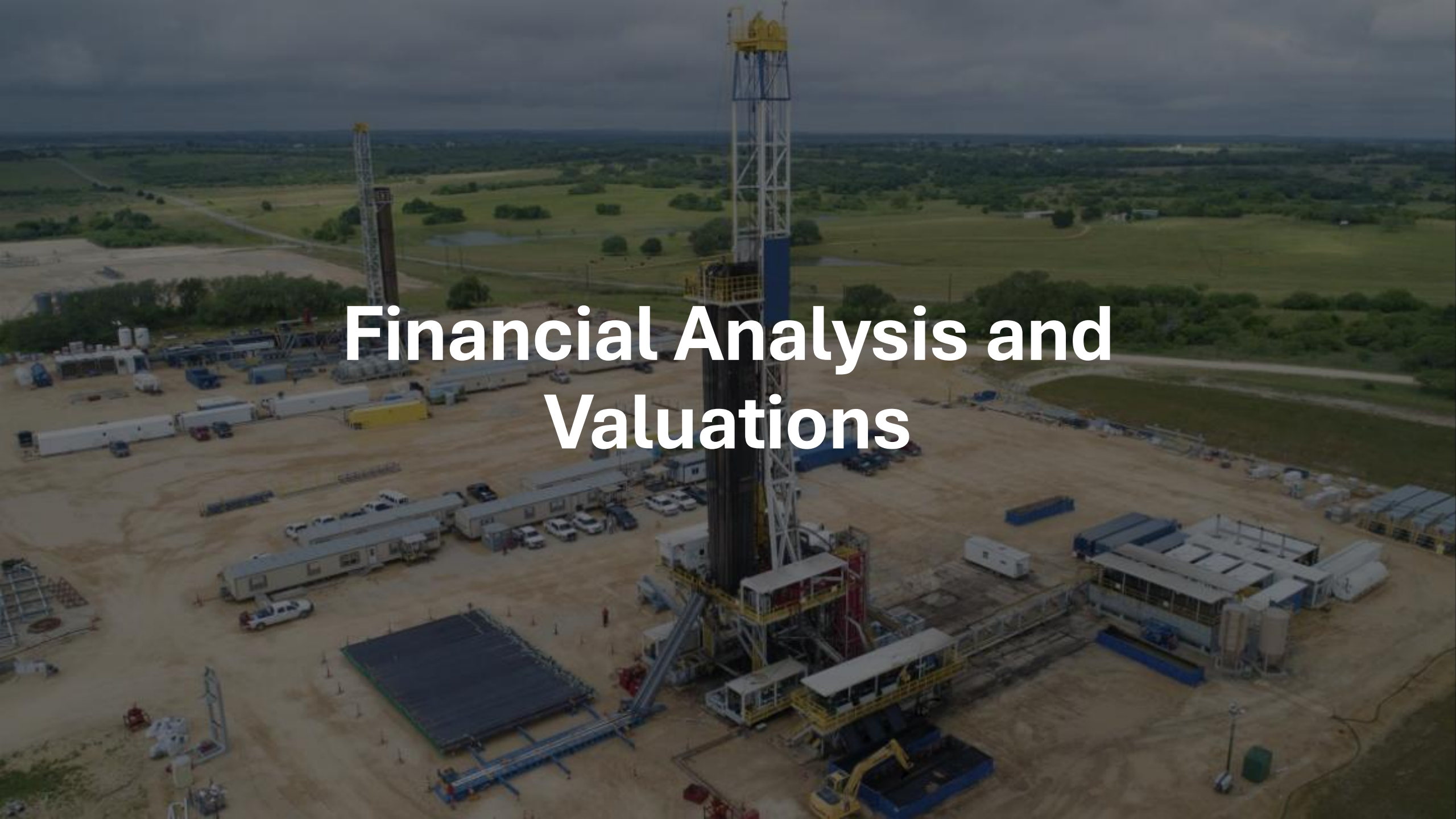


peace deal could flood markets with Russian/Iranian supply, lowering prices and pressuring ConocoPhillips' margins

Us Backs out of Paris Agreement



slow global decarbonization; investors may pressure ConocoPhillips' 2030 methane goals to align with EU/China climate goals

An aerial photograph of an oil drilling site. A tall, white and blue derrick stands prominently in the center. Surrounding it are various support structures, including a large blue platform, a yellow crane, and several white modular buildings. The site is located in a flat, green field with some trees in the background. The sky is overcast.

Financial Analysis and Valuations

Income Statement

Consolidated Income Statement - USD (\$) shares in Thousands, \$ in Millions	12 Months Ended			
	Dec. 31, 2021	Dec. 31, 2022	Dec. 31, 2023	Dec. 31, 2024
Revenues and Other Income				
Sales and other operating revenues	\$ 45,828	\$ 78,494	\$ 56,141	\$ 54,745
Equity in earnings of affiliates	832	2,081	1,720	1,705
Gain (loss) on dispositions	486	1,077	228	51
Other income	1,203	504	485	452
Total Revenues and Other Income	48,349	82,156	58,574	56,953
Costs and Expenses				
Purchased commodities	18,158	33,971	21,975	20,012
Production and operating expenses	5,694	7,006	7,693	8,751
Selling, general and administrative expenses	719	623	705	1,158
Exploration expenses	344	564	398	355
Depreciation, depletion and amortization	7,208	7,504	8,270	9,599
Impairments	674	(12)	14	80
Taxes other than income taxes	1,634	3,364	2,074	2,087
Accretion on discounted liabilities	242	250	283	325
Interest and debt expense	884	805	780	783
Foreign currency transaction (gain) loss	(22)	(100)	92	(50)
Other expenses	102	(47)	2	181
Total Costs and Expenses	35,637	53,928	42,286	43,281
Income (loss) before income taxes	12,712	28,228	16,288	13,672
Income tax provision (benefit)	4,633	9,548	5,331	4,427
Net Income (Loss)	\$ 8,079	\$ 18,680	\$ 10,957	\$ 9,245

- Revenue peaked at \$82.2B in 2022, driven by high energy prices; expected to stabilize around \$57B in 2024.
- Net income surged to \$18.7B in 2022, then normalized to \$11.0B in 2023 and \$9.2B projected in 2024, reflecting resilient profitability.
- Purchased commodities remain the largest cost driver but have declined significantly from \$34.0B (2022) to \$20.0B (2024).
- Depreciation and SG&A expenses have steadily increased, signaling growing production and administrative scaling.
- Interest and tax expenses remain stable, supporting consistent margins and highlighting strong balance sheet discipline.

Production Profile

ConocoPhillips - Production Profile											
			Historical								
December 31,			2021	2022	2023	2024	2025	2026	2027	2028	2029
Days in Year:			365	365	365	366	365	365	365	366	365
Average Daily Production:											
natural Gas (MMcf):			3,162.0	3,130.0	3,175.0	3,433.0	3,597.2	3,769.2	3,949.4	4,146.2	4,361.0
Natural Gas Liquids (MBbls):			142.0	252.0	287.0	312.0	347.3	386.5	430.2	487.4	561.9
crude Oil (MBbls):			829.0	898.0	936.0	982.0	1,026.9	1,073.9	1,123.0	1,196.8	1,299.4
Bitument (MBbls)			69.0	66.0	81.0	122.0	166.7	227.9	311.5	431.9	607.6
Total Daily MMcfe:			9,402.0	10,426.0	10,999.0	11,929.0	12,842.6	13,898.7	15,137.0	16,842.6	19,174.5
Total Annual Production:											
Gas (Bcf):			1,154.1	1,142.5	1,158.9	1,256.5	1,313.0	1,375.7	1,441.5	1,517.5	1,591.8
Natural Gas Liquids (MMBbls):			51.8	92.0	104.8	114.2	126.7	141.1	157.0	178.4	205.1
Oil (MMBbls):			302.6	327.8	341.6	359.4	374.8	392.0	409.9	438.0	474.3
Bitumen (MMBbls)			25.2	24.1	29.6	44.7	60.9	83.2	113.7	158.1	221.8
Total Bcfe:			3,431.7	3,805.5	4,014.6	4,366.0	4,687.5	5,073.0	5,525.0	6,164.4	6,998.7
			572	634	669	728	781	846	921	1,027	1,166
Average Daily Production Growth / (Decline) Rates:											
natural Gas:				(1.0%)	1.4%	8.1%	4.8%	4.8%	4.8%	5.0%	5.2%
Natural Gas Liquids:				77.5%	13.9%	8.7%	11.3%	11.3%	11.3%	13.3%	15.3%
Oil:				8.3%	4.2%	4.9%	4.6%	4.6%	4.6%	6.6%	8.6%
bitumen				(4.3%)	22.7%	50.6%	36.7%	36.7%	36.7%	38.7%	40.7%

- Total daily production is forecast to double, rising from 9.4 MMcfe/d in 2021 to 19.2 MMcfe/d by 2029, driven by steady growth across all energy streams.
- Natural gas is the largest volume contributor, growing from 3,162 MMcf/d in 2021 to 4,361 MMcf/d by 2029 (5.2% CAGR).
- Bitumen production shows strongest growth, expected to rise from 69 MBbls/d in 2021 to 608 MBbls/d in 2029, a CAGR of over 25%, reflecting heavy oil asset development.
- Annual oil production rises steadily from 303 MMBbls (2021) to 474 MMBbls (2029), maintaining ConocoPhillips' strategic exposure to crude markets amid global demand.

Production Pricing

COP												
(\$ as Stated Except Revenue in Millions)												
			Historical									
December 31,			2021	2022	2023	2024	2025	2026	2027	2028	2029	
Average NYMEX Prices:												
natural Gas (\$ Per Mcf):			\$ 4.00	\$ 6.54	\$ 2.60	\$ 2.25	\$ 4.00	\$ 4.00	\$ 4.00	\$ 4.00	\$ 4.00	
Natural Gas Liquids (\$ Per Bbl):			\$ 35.32	\$ 44.16	\$ 27.96	\$ 27.36	\$ 34.00	\$ 34.00	\$ 34.00	\$ 34.00	\$ 34.00	
crude Oil (\$ Per Bbl):			\$ 68.17	\$ 94.90	\$ 77.58	\$ 71.68	\$ 78.00	\$ 78.00	\$ 78.00	\$ 78.00	\$ 78.00	
Bitumen (\$ per Bbl)			\$ 55.00	\$ 75.00	\$ 58.97	\$ 60.99	\$ 38.00	\$ 38.00	\$ 38.00	\$ 38.00	\$ 38.00	
NYMEX Gas Prices (\$ Per Mcf):												
Base Case:							\$ 4.00	\$ 4.00	\$ 4.00	\$ 4.00	\$ 4.00	
Downside Case:							\$ 2.00	\$ 2.00	\$ 2.00	\$ 2.00	\$ 2.00	
Upside Case:							\$ 6.00	\$ 6.00	\$ 6.00	\$ 6.00	\$ 6.00	
Selected Case:			Base				\$ 4.00	\$ 4.00	\$ 4.00	\$ 4.00	\$ 4.00	
NYMEX Natural Gas Liquids Prices (\$ Per Bbl):												
Base Case:							\$ 34.00	\$ 34.00	\$ 34.00	\$ 34.00	\$ 34.00	
Downside Case:							\$ 27.00	\$ 27.00	\$ 27.00	\$ 27.00	\$ 27.00	
Upside Case:							\$ 45.00	\$ 45.00	\$ 45.00	\$ 45.00	\$ 45.00	
Selected Case:			Base				\$ 34.00	\$ 34.00	\$ 34.00	\$ 34.00	\$ 34.00	
NYMEX crude Oil Prices (\$ Per Bbl):												
Base Case:							\$ 78.00	\$ 78.00	\$ 78.00	\$ 78.00	\$ 78.00	
Downside Case:							\$ 78.00	\$ 78.00	\$ 78.00	\$ 78.00	\$ 78.00	
Upside Case:							\$ 68.00	\$ 68.00	\$ 68.00	\$ 68.00	\$ 68.00	
Selected Case:			Base				\$ 78.00	\$ 78.00	\$ 78.00	\$ 78.00	\$ 78.00	
NYMEX crude bitumen Prices (\$ Per Bbl):												
Base Case:							\$ 38.00	\$ 38.00	\$ 38.00	\$ 38.00	\$ 38.00	
Downside Case:							\$ 30.00	\$ 30.00	\$ 30.00	\$ 30.00	\$ 30.00	
Upside Case:							\$ 52.00	\$ 52.00	\$ 52.00	\$ 52.00	\$ 52.00	
Selected Case:			Base				\$ 38.00	\$ 38.00	\$ 38.00	\$ 38.00	\$ 38.00	

- **Commodity prices dropped sharply in 2023**, with natural gas falling from \$6.54 to \$2.60 and crude oil from \$94.90 to \$77.58 — reflecting a post-2022 market correction.
- **2024 pricing stabilizes at lower levels**, with oil projected at \$71.68 and gas at \$2.25, signaling more predictable revenue and operating planning.
- **Hedging assumptions include downside, base, and upside scenarios**, giving COP flexibility in capital allocation based on market conditions (e.g., gas base: \$4.00, downside: \$2.00, upside: \$6.00).
- **Flat pricing assumed through 2029** (oil: \$78, gas: \$4), suggesting a conservative and disciplined long-term view to manage risk and support consistent shareholder returns.

Balance Sheet

Consolidated Balance Sheet - USD (\$) shares in Thousands, \$ in Millions	Dec. 31, 2021		Dec 31,2022		Dec. 31, 2023		Dec. 31, 2024	
Assets								
Cash and cash equivalents	\$	5,028.00	\$	6,458.00	\$	5,635.00	\$	5,607.00
Short-term investments	\$	446.00	\$	2,785.00	\$	971.00	\$	507.00
Accounts and notes receivable (net of allowance of \$7 and \$3, respectively)	\$	6,543.00	\$	7,075.00	\$	5,461.00	\$	6,621.00
Accounts and notes receivable—related parties	\$	127.00	\$	13.00	\$	13.00	\$	74.00
investments in Cenovus Energy	\$	1,117.00	\$	-	\$	-	\$	-
Inventories	\$	1,208.00	\$	1,219.00	\$	1,398.00	\$	1,809.00
Prepaid expenses and other current assets	\$	1,581.00	\$	1,199.00	\$	852.00	\$	1,029.00
Total Current Assets	\$	16,050.00	\$	18,749.00	\$	14,330.00	\$	15,647.00
Investments and long-term receivables	\$	7,113.00	\$	8,225.00	\$	9,130.00	\$	9,869.00
Loans and advances-related parties	\$	-	\$	-	\$	-	\$	-
Net properties, plants and equipment (net of accumulated DD&A of \$81,072 and \$74,361, respectively)	\$	64,911.00	\$	64,866.00	\$	70,044.00	\$	94,356.00
Other assets	\$	2,587.00	\$	1,989.00	\$	2,420.00	\$	2,908.00
Total Assets	\$	90,661.00	\$	93,829.00	\$	95,924.00	\$	122,780.00
Liabilities								
Accounts payable	\$	5,002.00	\$	6,113.00	\$	5,083.00	\$	5,987.00
Accounts payable—related parties	\$	23.00	\$	50.00	\$	34.00	\$	57.00
Short-term debt	\$	1,200.00	\$	417.00	\$	1,074.00	\$	1,035.00
Accrued income and other taxes	\$	2,862.00	\$	3,193.00	\$	1,811.00	\$	2,460.00
Employee benefit obligations	\$	755.00	\$	728.00	\$	774.00	\$	1,087.00
Other accruals	\$	2,179.00	\$	2,346.00	\$	1,229.00	\$	1,498.00
Total Current Liabilities	\$	12,021.00	\$	12,847.00	\$	10,005.00	\$	12,124.00
Long-term debt	\$	18,734.00	\$	16,226.00	\$	17,863.00	\$	23,289.00
Asset retirement obligations and accrued environmental costs	\$	5,754.00	\$	6,401.00	\$	7,220.00	\$	8,089.00
Deferred income taxes	\$	6,179.00	\$	7,726.00	\$	8,813.00	\$	11,426.00
Employee benefit obligations	\$	1,153.00	\$	1,074.00	\$	1,009.00	\$	1,022.00
Other liabilities and deferred credits	\$	1,414.00	\$	1,552.00	\$	1,735.00	\$	2,034.00
Total Liabilities	\$	45,255.00	\$	45,826.00	\$	46,645.00	\$	57,984.00
Equity								
Par value	\$	21.00	\$	21.00	\$	21.00	\$	23.00
Capital in excess of par	\$	60,581.00	\$	61,142.00	\$	61,303.00	\$	77,529.00
Treasury stock (at cost: 2024—974,806,010 shares; 2023—925,670,961 shares)	\$	(50,920.00)	\$	(60,189.00)	\$	(65,640.00)	\$	(71,152.00)
Accumulated other comprehensive income (loss)	\$	(4,950.00)	\$	(6,000.00)	\$	(5,673.00)	\$	(6,473.00)
Retained earnings	\$	40,674.00	\$	53,029.00	\$	59,268.00	\$	64,869.00
Total Equity	\$	45,406.00	\$	48,003.00	\$	49,279.00	\$	64,796.00
Total Liabilities and Equity	\$	90,661.00	\$	93,829.00	\$	95,924.00	\$	122,780.00

- **Total assets increased from \$90.7B (2021) to \$122.8B (2024)**, driven by rising investment in PP&E and long-term assets — a clear sign of upstream capacity expansion and growth CapEx.
- **Long-term debt rose significantly to \$23.3B in 2024** (up from \$17.9B in 2023), largely due to the **Marathon Oil acquisition and associated debt assumption**.
- **Shareholder equity grew to \$64.9B in 2024**, supported by strong retained earnings (\$64.9B) and reduced comprehensive losses — a positive sign for long-term value creation.
- **Treasury stock repurchases increased sharply**, reaching **\$71.1B by 2024**, highlighting ConocoPhillips’ aggressive capital return strategy to shareholders via buybacks.

Cash Flow Statement

Consolidated Statement of Cash Flows - USD (\$)		Dec. 31, 2021	Dec. 31, 2022	Dec. 31, 2023	Dec. 31, 2024
Cash Flows From Operating Activities					
Net Income (Loss)		\$ 8,079.00	\$ 18,680.00	\$ 10,957.00	\$ 9,245.00
Adjustments to reconcile net income (loss) to net cash provided by operating activities					
Depreciation, depletion and amortization		\$ 7,208.00	\$ 7,504.00	\$ 8,270.00	\$ 9,599.00
Impairments		\$ 674.00	\$ (12.00)	\$ 14.00	\$ 80.00
Dry hole costs and leasehold impairments		\$ 44.00	\$ 340.00	\$ 162.00	\$ 46.00
Accretion on discounted liabilities		\$ 242.00	\$ 250.00	\$ 283.00	\$ 325.00
Deferred taxes		\$ 1,346.00	\$ 2,086.00	\$ 1,145.00	\$ 367.00
Distributions more (less) than income from equity affiliates		\$ 446.00	\$ 942.00	\$ 964.00	\$ 564.00
(Gain) loss on dispositions		\$ (486.00)	\$ (1,077.00)	\$ (228.00)	\$ (51.00)
(Gain) loss on investment in Cenovus Energy		\$ (1,040.00)	\$ (251.00)	\$ -	\$ -
Other		\$ (788.00)	\$ 86.00	\$ (220.00)	\$ 130.00
Working capital adjustments					
Decrease (increase) in accounts and notes receivable		\$ (2,500.00)	\$ (963.00)	\$ 1,333.00	\$ (262.00)
Decrease (increase) in inventories		\$ (160.00)	\$ (38.00)	\$ (103.00)	\$ (68.00)
Decrease (increase) in prepaid expenses and other current assets		\$ (649.00)	\$ (173.00)	\$ 337.00	\$ 79.00
Increase (decrease) in accounts payable		\$ 1,399.00	\$ 901.00	\$ (1,118.00)	\$ (543.00)
Increase (decrease) in taxes and other accruals		\$ 3,181.00	\$ 39.00	\$ (1,831.00)	\$ 613.00
Net Cash Provided by Operating Activities		\$ 16,996.00	\$ 28,314.00	\$ 19,965.00	\$ 20,124.00
Cash Flows From Investing Activities					
Capital expenditures and investments		\$ (5,324.00)	\$ (10,159.00)	\$ (11,248.00)	\$ (12,118.00)
Working capital changes associated with investing activities		\$ 134.00	\$ 520.00	\$ 30.00	\$ 302.00
Acquisition of businesses, net of cash acquired		\$ (8,290.00)	\$ (60.00)	\$ (2,724.00)	\$ (24.00)
Proceeds from asset dispositions		\$ 1,653.00	\$ 3,471.00	\$ 632.00	\$ 261.00
Net sales (purchases) of investments		\$ 3,091.00	\$ (2,629.00)	\$ 1,373.00	\$ 415.00
Collection of advances/loans—related parties		\$ 105.00	\$ 114.00	\$ -	\$ -
Other		\$ 87.00	\$ 2.00	\$ (63.00)	\$ 14.00
Net Cash Used in Investing Activities		\$ (8,544.00)	\$ (8,741.00)	\$ (12,000.00)	\$ (11,150.00)
Cash Flows From Financing Activities					
Issuance of debt		\$ -	\$ 2,897.00	\$ 3,787.00	\$ 5,591.00
Repayment of debt		\$ (505.00)	\$ (6,267.00)	\$ (1,379.00)	\$ (4,981.00)
Issuance of company common stock		\$ 145.00	\$ 362.00	\$ (52.00)	\$ (78.00)
Repurchase of company common stock		\$ (3,623.00)	\$ (9,270.00)	\$ (5,400.00)	\$ (5,463.00)
Dividends paid		\$ (2,359.00)	\$ (5,726.00)	\$ (5,583.00)	\$ (3,646.00)
Other		\$ 7.00	\$ (49.00)	\$ (34.00)	\$ (258.00)
Net Cash Used in Financing Activities		\$ (6,335.00)	\$ (18,053.00)	\$ (8,661.00)	\$ (8,835.00)
Effect of Exchange Rate Changes on Cash, Cash Equivalents and Restricted Cash		\$ (34.00)	\$ (224.00)	\$ (99.00)	\$ (133.00)
Net Change in Cash, Cash Equivalents and Restricted Cash		\$ 2,083.00	\$ 1,296.00	\$ (795.00)	\$ 6.00
Cash, cash equivalents and restricted cash at beginning of period	[1]	\$ 3,315.00	\$ 5,398.00	\$ 6,694.00	\$ 5,899.00
Cash, Cash Equivalents and Restricted Cash at End of Period	[1]	\$ 5,398.00	\$ 6,694.00	\$ 5,899.00	\$ 5,905.00

- **Operating cash flow remained robust**, totaling **\$20.1B in 2024**, supported by strong net income and high non-cash charges (e.g., \$9.6B in DDA).
- **Investing outflows increased significantly**, with **CapEx peaking at \$12.1B in 2024**, reflecting major growth initiatives and the **Marathon Oil acquisition**.
- **Financing cash flows show aggressive shareholder returns**, with over **\$5.4B in share buybacks** and **\$3.4B in dividends** paid in 2024 alone.
- **Cash balance grew from \$3.3B (2021) to \$5.9B (2024)**, despite heavy capital spending — indicating strong cash generation and disciplined capital management.

Net Asset Value (NAV)

COP

Proved Reserves as of 12/31/2024:

Natural Gas (Bcf):	15,641
Natural Gas Liquids (MBbls):	1,209
Oil (MBbls):	3,514
bitumen (MBbls)	483
Natural Gas Equivalents (Bcfe):	46,877

Long-Term Production growth:

Natural Gas:	15.0%
Natural Gas Liquids:	15.0%
Oil:	15.0%
bitumen	15.0%

Future Estimated Development Costs:	\$	45,093 ¹
Development Years		5 ¹

Discount Rate:	5.0% ¹
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Year #	Natural Gas				Natural Gas Liquids				Oil				Bitumen			Revenue (\$ in Millions)			Production & Development Expenses:				Cash Flows (\$ in Millions)		
	Beginning Reserves (Bcf)	Annual Production (Bcf)	Avg. Price \$ /Mcf		Beginning Reserves (MBbls)	Annual Production (MBbls)	Avg. Price \$ /Bbl		Beginning Reserves (MBbls)	Annual Production (MBbls)	Avg. Price \$ /Bbl		Beginning Reserves (MBbls)	Annual Production (MBbls)	Avg. Price \$ /Bbl	Natural Gas	Oil & NGL	Total Revenue	Annual Bcfe	Production Per Mcfe	Total Production Expenses	Total Development Expenses	Pre-Tax Cash Flows	Cash Tax Rate	After-Tax Cash Flows
1	15,641	1,313	\$ 6.97		1,209	127	\$ 26.08		3,514	375	\$ 80.05		483	61	\$ 27.77	\$ 9,151	\$ 35,000	\$ 44,151	4,688	\$ 2.00	\$ 9,375	\$ 9,019	\$ 25,757	33.8%	\$ 17,040
2	14,328	1,376	\$ 6.97		1,082	127	\$ 26.08		3,139	375	\$ 80.05		422	61	\$ 27.77	9,588	\$ 35,000	44,588	4,750	\$ 2.00	9,501	9,019	26,069	33.8%	17,246
3	12,952	1,442	\$ 6.97		956	127	\$ 26.08		2,764	375	\$ 80.05		361	61	\$ 27.77	10,047	\$ 35,000	45,047	4,816	\$ 2.05	9,873	9,019	26,155	33.8%	17,303
4	11,511	1,517	\$ 6.97		829	127	\$ 26.08		2,390	375	\$ 80.05		300	61	\$ 27.77	10,576	\$ 35,000	45,576	4,892	\$ 2.05	10,029	9,019	26,529	33.8%	17,550
5	9,993	1,592	\$ 6.97		702	127	\$ 26.08		2,015	375	\$ 80.05		240	61	\$ 27.77	11,094	\$ 35,000	46,094	4,966	\$ 2.05	10,181	9,019	26,894	33.8%	17,792
6	8,401	1,831	6.97		575	146	26.08		1,640	431	80.05		179	70	27.77	12,758	\$ 40,250	53,008	5,711	2.05	11,708	-	41,300	33.8%	27,322
7	6,571	2,105	6.97		429	168	26.08		1,209	496	80.05		109	80	27.77	14,671	\$ 46,288	60,959	6,568	2.05	13,464	-	47,495	33.8%	31,420
8	4,466	2,421	6.97		262	193	26.08		713	570	80.05		28	28	27.77	16,872	\$ 51,444	68,316	7,167	2.05	14,693	-	53,624	33.8%	35,475
9	2,045	2,045	6.97		69	69	26.08		143	143	80.05		-	-	27.77	14,252	\$ 13,257	27,509	3,318	2.05	6,802	-	20,707	33.8%	13,699
10	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
11	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
12	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
13	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
14	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
15	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
16	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
17	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
18	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
19	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
20	-	-	6.97		-	-	26.08		-	-	80.05		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-
21	-	-	6.97		-	-	26.08		-	-	78.00		-	-	27.77	-	-	-	-	2.05	-	-	-	33.8%	-

Present Value of Cash Flows from Proved Reserves: \$150,755.74

- **Massive, high-quality reserve base** of nearly **47 billion BOE**, including 15.6 Tcf of gas and 5.0 billion barrels of oil, positions COP as a top-tier energy asset owner with decades of low-decline production runway.
- Assumed **15% annual production growth** across all commodities signals aggressive development plans, strong technical execution, and accelerating free cash flow generation.
- **Robust realized pricing** (\$80.05/bbl oil, \$6.97/Mcf gas) reflects premium asset quality and market access, with resilient margins even in commodity pullbacks.
- **\$150.8B in after-tax cash flow NPV at just a 5% discount rate** underscores significant upside vs. current enterprise value — highlighting undervaluation and long-term shareholder value creation potential.

Enterprise Value

Undeveloped Acres (Property Values in \$ Millions USD):

Region:	Acres:	\$ / Acre:	Value:
Alaksa	1,012	\$ 7,500	8
lower 48	8,100	15,000	122
US	9,112	15,000	137
canada	2,006	3,500	7
europa	188	1,500	0
asia pacific/middle east	7,630	5,000	38
africa	2,561	1,000	3
other areas	125	2,500	0
Total:	30,734	\$	314
Enterprise Value:			\$151,069.83
Balance Sheet Adjustments:			(38,020)
Implied Equity Value:		\$	113,050
Diluted Shares Outstanding:			1,181.0
Implied Share Price:		\$	95.72

- ConocoPhillips holds over **30,700 acres of undeveloped land** across strategic basins globally, with a conservative **\$314M valuation** — offering significant **optionality for future development or monetization**.
- Prime U.S. acreage (Lower 48 + Alaska) is valued at **\$15,000/acre** and **\$7,500/acre**, respectively, underscoring the **premium nature of COP's asset base**.
- After accounting for balance sheet adjustments, the model implies an **equity value of \$113B**, translating to an **implied share price of \$95.72** — **~11% upside** from the current market price (~\$86.45).
- COP's global footprint — especially in **Asia Pacific and the Lower 48** — gives it **strategic optionality**, exposure to global LNG growth, and flexibility to scale production as demand rebounds.

Sensitivity

ConocoPhillips - Net Present Value Sensitivity - Crude Oil Prices										
		Discount Rate								
		3.5%	4.0%	4.5%	5.0%	5.5%	6.0%	6.5%	7.0%	
Crude Oil Prices (\$ Per Bbl)	\$ 98.00	\$ 109.19	\$ 105.78	\$ 102.49	\$ 99.31	\$ 96.24	\$ 93.28	\$ 90.42	\$ 87.65	
	95.00	108.58	105.17	101.89	98.71	95.65	92.69	89.82	87.06	
	80.08	105.55	102.16	98.89	95.73	92.68	89.73	86.88	84.13	
	75.00	104.52	101.14	97.87	94.71	91.67	88.72	85.88	83.13	
	72.00	103.91	100.53	97.27	94.11	91.07	88.13	85.29	82.55	
	68.00	103.10	99.72	96.46	93.31	90.27	87.34	84.50	81.76	

- At the base case of **\$80.08/bbl oil and a 5% discount rate**, COP's implied value is **\$95.73/share**, indicating **~11% upside** from the current price (~\$86.45).
- At a modest oil price recovery to **\$95/bbl**, the implied share price jumps to **\$98.71** (5% discount), reflecting strong operating leverage and price sensitivity.
- Even in a higher-rate environment (7% discount), shares still hold **fair value support around \$84**, showcasing **downside protection** under conservative scenarios.
- At bullish levels of **\$98 oil and 3.5% discount**, COP's value surges to **\$109.19/share**, pointing to a **~26% upside** and strong valuation rerating potential.

Comparable Company Analysis

Comps Tables																									
Date	3/31/25																								
	Currency	USD																							
Ticker	Company Name	Current Price	Share Count	Enterprise Value	Market Cap	Revenue			EBITDAX		Net Income		Revenue Growth		EBITDAX Margin		Profit Margin		Trading Multiples						
						23	24	25	'24	'25	'24	'25	'23-'24	'24-'25	'24	'25	'24	'25	EV / Revenue		EV / EBITDAX		P / E		
																			'24	'25	'24	'25	'24	'25	
COP	ConocoPhillips	86.45	1,272	151,069	133,630	56,141	56,953	44,151	18,416	15,877	9,245	6,876	1%	(22%)	32%	36%	16%	16%		2.7x	3.4x	8.2x	9.5x	14.5x	19.4x
OXY	Occidental Petroleum Corporation	49.36	939	79,150	46,360	28,918	26,880	28,182	10,854	10,597	3,078	3,263	(7%)	5%	40%	38%	11%	12%		2.9x	2.8x	7.3x	7.5x	15.1x	14.2x
EOG	EOG Resources, Inc.	128.24	554	68,100	58,150	24,186	23,698	24,177	12,364	11,894	6,403	5,894	(2%)	2%	52%	49%	27%	24%		2.9x	2.8x	5.5x	5.7x	9.1x	9.9x
DVN	Devon Energy Corporation	32.82	2,168	102,300	71,830	15,258	15,940	17,143	6,995	7,246	2,942	2,964	4%	8%	44%	42%	18%	17%		6.4x	6.0x	14.6x	14.1x	24.4x	24.2x
APA	APA Corporation	52.24	1,017	74,170	53,760	8,192	9,737	8,534	4,114	3,732	1,118	1,078	19%	(12%)	42%	44%	11%	13%		7.6x	8.7x	18.0x	19.9x	48.1x	49.9x
HES	Hess Corporation	159.73	307	57,530	49,050	10,645	13,018	12,353	7,167	6,898	3,152	2,496	22%	(5%)	55%	56%	24%	20%		4.4x	4.7x	8.0x	8.3x	15.6x	19.7x
Mean													7%	(1%)	47%	46%	19%	17%		4.9x	5.0x	10.7x	11.1x	22.4x	23.6x
Median													4%	2%	44%	44%	18%	17%		5.3x	5.5x	11.5x	12.0x	24.3x	25.9x
		2025 Trading Multiple			2025 Financial Metric			Enterprise Value						Equity Value			Implied Share Price								
Calculating Implied Share Price		Revenue	EBITDAX	P/E	Revenue	EBITDAX	EPS	Revenue	EBITDAX	Net Income	Cash	Debt	Shares	Revenue	EBITDAX	Net Income	Revenue	EBITDAX	Net Income						
Minimum		2.8x	5.7x	9.9x	44,151	15,877	8.24	123,999	90,905	--	5,607	25,749	1272	100,005	111,530	103,408	\$ 78.62	\$ 87.68	\$ 81.30						
Mean		5.0x	11.1x	23.6x	44,151	15,877	8.24	220,234	176,320	--	5,607	25,749	1272	196,240	196,945	247,001	\$ 154.28	\$ 154.83	\$ 194.18						
Median		5.5x	12.0x	25.9x	44,151	15,877	8.24	244,293	190,754	--	5,607	25,749	1272	220,299	211,379	271,522	\$ 173.19	\$ 166.18	\$ 213.46						
Maximum		8.7x	19.9x	49.9x	44,151	15,877	8.24	383,722	315,540	--	5,607	25,749	1272	359,728	336,165	522,703	\$ 282.80	\$ 264.28	\$ 410.93						

- **ConocoPhillips trades at a discount** to peers on 2025 EV/EBITDAX (9.5x vs. peer median 12.0x) and P/E (19.4x vs. median 25.9x), suggesting **potential undervaluation**.
- COP’s **2025 EBITDAX margin (36%)** is below the peer median (44%), reflecting **weaker operating leverage** versus more efficient peers like EOG and HES.
- **Revenue is expected to decline 22% in 2025**, the steepest among the group, likely weighing on sentiment and valuation multiples.
- **Implied share price ranges from \$78.62 to \$213.46** based on comps, with a median implied valuation of **\$156.18**, indicating strong **upside vs. current price of \$86.45**.

Investment Rationale

Stock Data

Rating: **BUY**
Price Target: \$95.00
Market Cap (\$B): 66.987
Shares Out: 1,264,165,351
Average Daily Vol: 9,336,701
Divident Yield: 3.56%

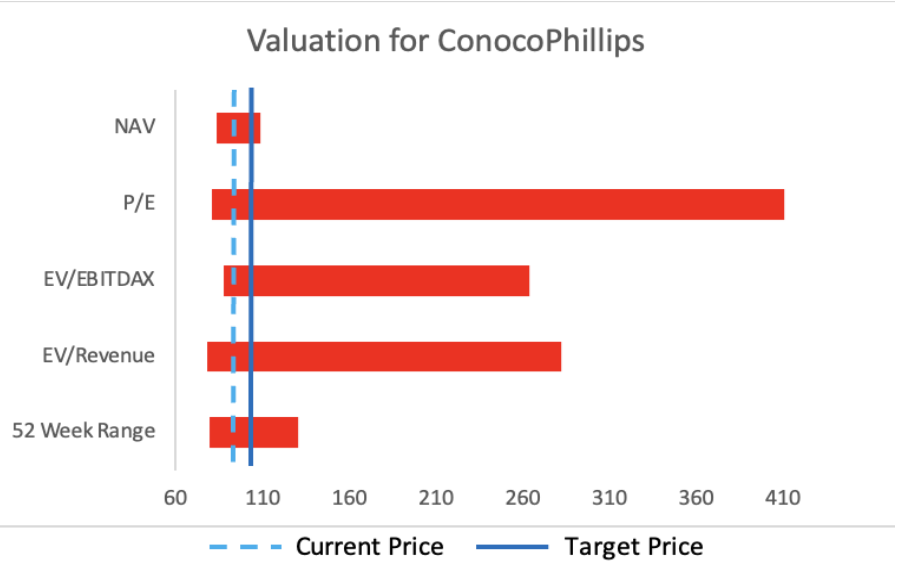
Estimates

FY Dec

Q1: 2.03
Q2: 1.98
Q3: 1.78
Q4: 1.98

Fiscal EPS : **7.77**

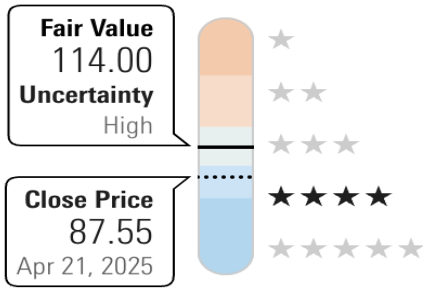
Fiscal P/E: 11x



Valuation Method	Min	Max	Valuation Weight
NAV	\$84.13	\$109.19	40%
Comps: P/E	\$81.30	\$410.93	20%
Comps: EV/EBITDAX	\$87.68	\$264.28	20%
Comps: EV/Revenue	\$78.62	\$282.80	20%
52 Wk Trading	\$79.88	\$130.77	0%

Fair Value Assessment

Undervalued (23% Discount)



- At a current price of **\$87.55**, ConocoPhillips trades at a **23% discount** to its estimated **fair value of \$114**, presenting clear upside for long-term investors.
- Morningstar assigns a **4-star rating**, highlighting strong fundamentals and undervaluation despite macro uncertainty.
- Based on intrinsic value and margin of safety principles, our **suggested buy range is \$86–\$120**, with **\$120 as a fair-value entry** and **\$86 as a high-conviction bargain**.
- With a favorable risk/reward setup and exposure to high-quality upstream assets, COP offers a **compelling entry point below intrinsic value**.

Appendix

- <https://www.cbiz.com/insights/article/drilling-into-the-details-oil-and-gas-giant-conocophillips-faces-transfer-pricing-compliance-lawsuit>
- <https://energynews.pro/en/second-ftc-application-for-conocophillips-acquisition-of-marathon-oil/>
- <https://blog.ucs.org/kathy-mulvey/shareholder-resolutions-challenge-conocophillips-consol-energy/>
- <https://simplywall.st/stocks/us/energy/nyse-cop/conocophillips/news/with-75-ownership-of-the-shares-conocophillips-nysecop-is-he>
- <https://static.conocophillips.com/files/resources/conocophillips-2022-sustainability-report.pdf>
- <https://www.conocophillips.com/sustainability/sustainability-news/story/conocophillips-recognized-for-esg-workplace-equality-performance/>
- https://www.conocophillips.com/news-media/story/conocophillips-to-acquire-marathon-oil-corporation-in-all-stock-transaction-provides-shareholder-distribution-update/?utm_source=chatgpt.com
- <https://www.conocophillips.com/news-media/story/conocophillips-reports-fourth-quarter-and-full-year-2023-results-123-preliminary-reserve-replacement-ratio-announces-2024-guidance-and-planned-return-of-capital-of-9b-declares-quarterly-ordinary-dividend-and-variable-return-of-cash-distribution/>
- <https://research-morningstar-com.utk.idm.oclc.org/quotes/0P000001GE>
- <https://finance.yahoo.com/quote/COP/>